MODULE 7

CASE STUDY

Quibi: The $1.75 Billion Kill Decision

The most expensive lesson in startup history about ignoring kill criteria

Prepare this case before class. Come ready to take a position.

THE SITUATION

Quibi, January 2020

Jeffrey Katzenberg (DreamWorks co-founder) and Meg Whitman (former eBay/HP CEO) have raised $1.75B for Quibi — short-form premium video for mobile. The app launches in April 2020. They've spent $1B on Hollywood-produced content in 'quick bites' of 7-10 minutes.

But early beta testers are confused. Why pay $5/month for short videos when TikTok is free? And COVID-19 has just started — people are watching more content, but on TVs, not phones.

KEY FACTS

- $1.75B raised pre-launch
- $1B spent on content production
- Launch: April 2020 (pandemic)
- Price: $5/month with ads, $8 without
- TikTok: 800M users, free
- Beta feedback: confused users

THE DECISION

It's January 2020. You're on Quibi's board. What do you do?

OPTION A

Launch as planned — $1B in content is ready, delay wastes money

OPTION B

Delay 6 months — test with a smaller content library first, observe pandemic impact

OPTION C

Pivot — release content free on YouTube, build ad-supported model

OPTION D

Kill — return remaining capital to investors, acknowledge the thesis is wrong

DISCUSSION QUESTIONS

Come prepared to defend your position with evidence from the case.

1. What kill criteria should Quibi's board have set 6 months before launch?
1. Run a pre-mortem: imagine Quibi fails. List the top 5 reasons why.
1. How does the 'monkey first' principle apply? What was Quibi's hardest assumption?
1. What's the role of sunk costs in this decision? How do you think clearly when $1B is spent?